

ies in Chapter 5, wave (A) is likely to be a unidirectional slide like that of 1929-1933. Even that relentless contraction enjoyed many months of optimism and hope for recovery that ultimately were dashed. Though less likely, the slide into depression could be interrupted by one or more periods of temporarily improving conditions, as suggested by the schematic in Figure 13-31. If such "bear market rallies" in the economy do occur, they may look like the real thing, but will ultimately give way to the next downward wave to significantly lower depths until the larger trend is exhausted. The first depression should reach its nadir between zero and six years after stocks bottom. If stocks bottom in or near 2003, its effects could last through most of the first decade of the next century.

Wave (C) down, which is ideally due to end in the 2050s, will usher in a second depression and, regardless of its relative depth, greater social unrest. If there is a wave (E) decades later, it will accompany a point of great lethargy in some parts of the world and unrest and revolution in others.

Maintaining Perspective

Keep in mind as events unfold that even as the economy overall begins to sink relentlessly, economists will not call it a depression for quite some time. The record optimism of today will maintain a hold on the majority, dissipating slowly. There will be hope; there will be pep talks; there will be learned commentary. On the way down, economists and government will first deny it, then call it a mild setback, then assure the country every quarter or so that "the recession is ending." Most of the way down, through every passing month, observers will be expecting an almost immediate upturn. Optimism will dissolve only when events force its last remnants out of the collective consciousness. The slide into depression will accompany a long process from optimism through denial, lagging recognition and worry, and finally to panic and despair. Remember this: The consensus will recognize the depression as such only when it finally hits bottom. When the low is reached, pessimism will reign. The majority of investors will project the trend further downward. Economists, who in the aggregate do not recognize depressions until bread lines, bank closings and camps of homeless are on the front page of the newspaper, will be making bearish forecasts. Each will say sternly, in the most erudite prose, "While I would like to be optimistic, I must be realistic, and all the data says that there is no end in sight to our miseries." Psychology will have turned 180 de-